BROOKSIDE AT MONTVILLE AL/MC PAD

Montville Twp, Morris County, NJ · 114 units (78 AL · 36 MC) · 4 acres · 45 min to Midtown

Recommendation: Needs a PILOT. With comp-based building size, fully taxed YOC is 6.45%, just under the floor. It clears with a PILOT, but no redevelopment designation was found for Brookside; Montville's past PILOTs came through affordable-housing settlements. Ask the township before LOI.

CAPITAL REQUIRED	EQUITY · LOAN	YIELD ON COST · PILOT
$61.5M	**$24.6M · $36.9M**	**7.24%**

LEVERED IRR · LP NET	PROFIT AT STABILIZATION	AT RISK BEFORE APPROVAL
13.5% · 13.0%	**$16.1M**	**$2.82M**

THESIS

- **Approvability.** Town approved age-restricted; Highlands region. Opposition risk is medium.
- **Deal route.** JV to add AL/MC. Diversified Properties owns; approved 266 age-restricted.
- **Need and rents.** Need 58, rent support 73 and approval 60 on a 100-point scale.
- **Returns.** 7.24% yield on cost against a 6.5% floor. Value at a 6.50% exit cap is $79.2M on trended NOI of $5.15M. Max land at the floor is $5.2M against a $5.7M basis. LP net IRR after an 8% pref and 80/20 split: 13.0%.

SOURCES AND USES

Land	$5.70M
Hard cost	$35.19M
Site work	$1.08M
Contingency	$1.81M
FF&E	$2.51M
Soft cost	$7.25M
Construction interest	$2.99M
Lease-up reserve	$4.96M
Total uses	**$61.50M**
Equity, 40% (LP 90% / GP 10%)	$24.60M
Construction loan, 60% LTC	$36.90M

SCHEDULE

Predevelopment and approvals	9 mo
Construction	20 mo
Lease-up to stabilization	30 mo
Site control to sale	**59 mo**

TEAM

Operator, first call	Engel Burman
Operator, second	Juniper Communities
General contractor	IMC Construction (alternate O.A. Peterson Construction)

DOWNSIDE CASES

CASE	YOC	UNLEV. IRR	LEV. IRR	MULTIPLE	PROFIT
Base case	7.24%	7.4%	13.5%	1.65x	$16.1M
Rents −10%	6.51%	4.0%	7.6%	1.34x	$8.2M
Hard costs +10%	6.73%	5.0%	9.5%	1.43x	$11.4M
Exit cap +50 bps	7.24%	5.0%	9.4%	1.43x	$10.5M
Lease-up +6 months	7.12%	6.5%	11.9%	1.65x	$16.3M
Combined downside	**5.97%**	**-0.5%**	**-1.1%**	**0.95x**	**−$1.3M**

All four shocks at once (rents −10%, hard costs +10%, exit cap +50 bps, lease-up +6 months) take yield on cost to 5.97% and the levered IRR to -1.1%, a $1.3M loss on a sale at stabilization.

STRUCTURING THE DOWNSIDE

Recommended: GMP contract + PILOT. GMP contract, on top of the PILOT already in the base case, holds breakeven: the combined downside still returns $2.0M of profit (6.27% YOC, 1.7% levered IRR). Condition: No redevelopment designation found for Brookside. Montville has granted 30-year PILOTs through affordable-housing settlements (AvalonBay, Mill Creek); this needs a new agreement.

STRUCTURE	BASE YOC	BASE PROFIT	DOWNSIDE YOC	DOWNSIDE PROFIT	BREAKEVEN?
As underwritten	7.24%	$16.1M	5.97%	−$1.3M	No
GMP contract	**7.24%**	**$16.1M**	**6.27%**	**$2.0M**	**Yes**
GMP + ground lease	7.36%	$15.8M	6.30%	$2.0M	Yes
GMP + operator master lease	6.69%	$2.0M	6.53%	−$3.3M	No
Fee development for a nonprofit	7.87%	$22.8M	6.89%	$8.3M	Yes

KEY RISKS AND HOW WE CLOSE THEM

Entitlement	Amend existing approval; approval odds 54% (Even). Approved 266 age-restricted; AL needs amendment + CN.
Lease-up	30 months to stabilization at industry-norm net move-ins (2–4 a month for AL/MC, 3–6 for IL; NIC MAP). The downside case adds 6 months.
Rents	Supported: 3% under the Class A median of the Morris comp set. A NIC MAP pull and a rate shop confirm before LOI.
Taxes	The return depends on a PILOT (fully taxed YOC 6.45%). Close only on a signed term sheet.

NEXT STEPS

1. Pitch Diversified.
2. Gate 1 · Feasibility by month 3, $0.16M at risk. Counsel confirms the amend existing approval path; the massing fits bulk and parking; Phase I and wetlands flagging are clean.
3. Gate 2 · Political read by month 6, $0.26M at risk. Staff sees a path; mayor and a board majority are neutral or supportive; no organized opposition after abutter meetings.

Model outputs for screening, not an appraisal, offer or investment advice. Estimates are replaced with NIC MAP and assessor data before LOI. Full dossier: senior-living-pipeline-1cia.vercel.app/sites/NJ-10. Excel model: senior-living-pipeline-1cia.vercel.app/models/ATCO-NJ-10-proforma.xlsx